

Table 26.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the height from the highest high between the two bottoms to the lower of the two bottoms, then add the height to the highest high between the two bottoms. The result is the target price. The bottom portion of this table shows how often the measure rule works.
Wait for breakout	Always wait for confirmation (a close above the highest high).
Trade with market trend	To improve your odds of success, trade this bullish pattern in bull markets and a bullish industry.
Check others in the industry	Check others in the industry. If they are bullish, then the double bottom has a better chance of working well.
Stop location	See Table 26.7 for stop location guidance.
Busted trade	If you can afford the risk, a busted double bottom is a bearish signal.

Description	Bull Market
Percentage reaching half height target	88%
Percentage reaching full height target	73%
Percentage reaching 2× height	53%
Percentage reaching 3× height	40%

Once you have a target, visit the discussion of [Table 26.3](#) to evaluate your chances of success.

Wait for breakout. Since double bottoms act as reversals of the prevailing price trend, there is a 48% chance (I measured this in a 2018 study on the best entry) that price will continue declining instead of confirming the double bottom. That is why you should wait for a breakout (a close above